Azure Solar Private Limited vs Central Electricity Regulatory ... on 3 February, 2022

IN THE APPELLATE TRIBUNAL FOR ELECTRICITY
(Appellate Jurisdiction)
APPEAL NO. 61 OF 2021
APPEAL NO. 62 OF 2021
APPEAL NO. 63 OF 2021
APPEAL NO. 64 OF 2021
APPEAL NO. 65 OF 2021

Dated: 03.02.2022
Present: Hon'ble Mr. Justice R.K. Gauba, Officiating Chairperson
Hon'ble Mr. Sandesh Kumar Sharma, Technical Member

APPEAL NO. 61 OF 2021

In the matter of:

AZURE SOLAR PRIVATE LIMITED
Asset No.301-4
World Mark 3, Aerocity,
New Delhi - 110 017 .... Appellant(s)

VERSUS

1. CENTRAL ELECTRICITY REGULATORY COMMISSION
3rd& 4thFloor, Chanderlok Building,
36, Janpath,
New Delhi- 110001

2. NTPC VIDYUT VYAPAR NIGAM LIMITED
Core-7, SCOPE Complex NTPC Bhawan,
7 Institutional Area,
Lodhi Road,
New Delhi - 110003

3. NTPC LIMITED
Core-7, SCOPE Complex,
7 Institutional Area, Lodhi Road,
New Delhi - 110003

4. PUNJAB STATE POWER CORPORATION
LIMITED (PSPCL)
Through its Managing Director
The Mall, PSEB Head Office,
Baradari, Patiala,
Punjab - 147 001

5. UTTAR PRADESH POWER CORPORATION
LIMITED (UPPCL)

Through its Managing Director
Shakti Bhawan, 14 Ashok Marg,
Lucknow - 226 001

6. CHHATTISGARH STATE POWER DISTRIBUTION
COMPANY LIMITED (CSPDCL)
Through its Managing Director
4th Floor, Vidyut Seva Bhawan Dangania,Raipur,
Chhattisgarh - 492 013

7. GRID CORPORATION OF ORISSA LIMITED (GRIDCO)
Through its Managing Director
Bhoi Nagar, Janpath
Bhubaneshwar - 751 022

8. WEST BENGAL STATE ELECTRICITY DISTRIBUTION
COMPANY LIMITED (WBSEDCL)
Through its Managing Director
Vidyut Bhaan, Bidhannagar,
Block DJ, Sector-II, Kolkata - 700 091

9. DAMODAR VALLEY CORPORATION LTD (DVC)
Through its Chairman
DVC Headquarters, DVC Towers,
VIP Road, Kolkata - 700054

10. MANGALORE ELECTRICITY SUPPLY COMPANY
LIMITED (MESCOM)
Through its Managing Director
Paradigm Plaza, AB Shetty Circle,
Mangalore - 575 001

11. BANGALORE ELECTRICITY SUPPLY COMPANY
LIMITED(BESCOM)
Through its Managing Director
BESCOM, KR Circle,
Bangalore - 560 001

12. CHAMUNDESHWARI ELECTRICITY SUPPLY CORP.
LIMITED (CESC)
Through its Managing DirectorNo. 927,
New KantharajUrs Road,
Saras watipuram
Mysuru - 570 009

13. GULBARGA ELECTRICITY SUPPLY COMPANY
LIMITED (GESCOM)
Through its Managing Director
Corporate Office, Station Road,
Kalaburagi,
Karnataka - 585 102

14. HUBLI ELECTRICITY SUPPLY COMPANY
LIMITED (HESCOM)
Through its Managing Director
PB Road, Navanagar,
Hubli - 580 025

15. ASSAM POWER DISTRIBUTION COMPANY
LIMITED (APDCL)
Through its Managing Director
Bijulee Bhawan, Paltan Bazaar,
Guwahati - 781 001

16. JAIPUR VIDYUT VITRAN NIGAM LIMITED (JVVNL)
Through its Managing Director
Vidyut Bhawan, Jyoti Nagar,
Jaipur-302 005

17. JODHPUR VIDYUT VITRAN NIGAM LIMITED (JD.VVNL)
Through its Managing Director
New Power House, Industrial Area,
Jodhpur,
Rajasthan - 342 003

18. AJMER VIDYUT VITRAN NIGAM LIMITED (AVVNL)
Through its Managing Director
Vidyut Bhawan,Panchsheel Nagar,
Makarwali Road,
Ajmer - 305 004 .... Respondent(s)

Counsel for the Appellant (s) : Mr. Amit Kapur
Mr. Akshat Jain
Ms. Alviya Ahmed
MrAniket Prasoon
Ms. Shweta Vashist
Mr. Md. Aman Sheikh
Mr. Mridul Gupta
Ms. Priya Dhankar
Ms. Akansha Tanvi

Counsel for the Respondent (s) : Mr. M.G. Ramachandran, Sr. Adv.
Ms. PoorvaSaigal
Ms. Tanya Sareen
Ms. Srishti Khindaria
Mr. Ravi Nair for R-2

Mr. Anand K. Ganesan
Ms. Swapna Seshadri
Mr. Ashwin Ramanathan
Mr.Utkarsh Singh
Mr. Amal Nair for R-4, R-16-18

Mr. Shahbaaz Husain
Mr. Fahad Khan for R-10 to R-14

APPEAL NO. 62 OF 2021

In the matter of:

AZURE CLEAN ENERGY PRIVATE LIMITED
Asset No.301-4
World Mark 3, Aerocity,
New Delhi - 110 017 .... Appellant(s)

VERSUS

1. CENTRAL ELECTRICITY REGULATORY COMMISSION
3rd& 4thFloor, Chanderlok Building,
36, Janpath,
New Delhi- 110001

2. SOLAR ENERGY CORPORATION OF INDIA LIMITED
Through its Managing Director
1st Floor, A-Wing
D-3, District Centre, Saket,
New Delhi-110017

3. RAJASTHAN URJA VIKAS NIGAM LIMITED (RUVNL)
Through its Managing Director
Vidyut Bhawan, Janpath
Jaipur-302 005 .... Respondent(s)

APPEAL NO. 63 OF 2021

In the matter of:

AZURE POWER MARS PRIVATE LIMITED
Asset No.301-4
World Mark 3, Aerocity,
New Delhi - 110 017 .... Appellant(s)

VERSUS

1. CENTRAL ELECTRICITY REGULATORY COMMISSION
3rd& 4th Floor, Chanderlok Building,
36, Janpath,
New Delhi- 110001

2. SOLAR ENERGY CORPORATION OF INDIA LIMITED
Through its Managing Director
1st Floor, A-Wing
D-3, District Centre
Saket, New Delhi-110017

3. JODHPUR VIDYUT VITRAN NIGAM LIMITED (JDVVNL)

Through its Managing Director
New Power House, Industrial Area,
Jodhpur,
Rajasthan - 342 003 .... Respondent(s)

Counsel for the Appellant (s) : Mr. Aniket Prasoon
Ms. Shweta Vashist
Mr. Md. Aman Sheikh
Mr. Mridul Gupta
Ms. Priya Dhankar
Ms. Akansha Tanvi

Counsel for the Respondent (s) : Mr. M.G. Ramachandran, Sr. Adv.
Ms. PoorvaSaigal
Ms. Tanya Sareen
Ms. Srishti Khindaria
Mr. Ravi Nair for R-2

Mr. Anand K. Ganesan
Ms. Swapna Seshadri
Mr. Ashwin Ramanathan
Mr.Utkarsh Singh
Mr. Amal Nair for R-3

APPEAL NO. 64 OF 2021

In the matter of:

AZURE GREEN TECH PRIVATE LIMITED
Asset No.301-4
World Mark 3, Aerocity,
New Delhi - 110 017 .... Appellant(s)

VERSUS

1. CENTRAL ELECTRICITY REGULATORY COMMISSION
3rd& 4thFloor, Chanderlok Building,
36, Janpath,
New Delhi- 110001

2. SOLAR ENERGY CORPORATION OF INDIA LIMITED
Through its Managing Director
1st Floor, A-Wing,
D-3, District Centre, Saket,
New Delhi-110017

3. HRAYANA POWER PURCHASE CENTRE (HPPC)
Through its Chief Engineer Shakti
Bhawan, Sector-6
Panchkula-134108 .... Respondent(s)

APPEAL NO. 65 OF 2021

In the matter of:

AZURE SUNSHINE PRIVATE LIMITED
Asset No.301-4
World Mark 3, Aerocity,
New Delhi - 110 017 .... Appellant(s)

VERSUS

CENTRAL ELECTRICITY REGULATORY COMMISSION
3rd& 4thFloor, Chanderlok Building,
36, Janpath,
New Delhi- 110001

SOLAR ENERGY CORPORATION OF INDIA LIMITED
Through its Managing Director
1st Floor, A-Wing,
D-3, District Centre, Saket,
New Delhi-110017

HARYANA POWER PURCHASE CENTRE (HPPC)
Through its Chief Engineer Shakti
Bhawan, Sector-6
Panchkula-134108 .... Respondent(s)

Counsel for the Appellant (s) : Mr. Aniket Prasoon
Ms. Shweta Vashist
Mr. Md. Aman Sheikh
Mr. Mridul Gupta
Ms. Priya Dhankar
Ms. Akansha Tanvi

Counsel for the Respondent (s) : Mr. M.G. Ramachandran, Sr. Adv.
Ms. Ranjitha Ramachandran
Ms. PoorvaSaigal
Ms. Tanya Sareen
Mr. Shubham Arya
Mr. Arvind Kumar Dubey
Ms. Srishti Khindaria
Mr. Ravi Nair for R-2

Ms. Ranjitha Ramachandran
Ms. PoorvaSaigal
Ms. Tanya Sareen
Mr. Shubham Arya
Mr. Arvind Kumar Dubey
Ms. Srishti Khindaria
Mr. Ravi Nair for R-3

J U D G M E N T(Oral)

PER HON'BLE MR JUSTICE R.K. GAUBA, OFFICIATING CHAIRPERSON

1. These matters have been taken up by video conference mode on account of pandemic conditions, it being not advisable to hold physical hearing.

2. These five appeals have raised identical grievancesvis-à-vis the impugned order passed by the Respondent Commission - Central Electricity Regulatory Commission (CERC), in proceedings qua each of these appellants, solar power generators, the prayer made being in respect of denial of relief on the subject of operation & maintenance expenses in light of two change in law events viz. imposition of Service Tax & GST. The impugned order was rendered on 19.11.2019 passed commonly in

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Petition Nos. 184/MP/2018, 185/MP/2018, 188/MP/2018, 190/MP/2018 and 191/MP/2018.

3. It appears that the CERC has denied compensation on account of change in law events having an impact on O & M expenses for the reason that the appellants had outsourced such activities to third party. The appellants are also aggrieved by denial of carrying cost vis-à-vis the previously mentioned claim of compensation, the reasons set out in the impugned order being that in the Power Purchase Agreements (PPAs) governing the relationship of the parties, there is no provision incorporating of restitutionaryprinciple.

4. The appellants rely on decision of this tribunal in the case of Coastal Gujarat(Appeal No.172 of 2017) passed on 27.04.2021 andin Azure Power Eris Private Limited Vs. Bihar Electricity Regulatory Commission & Others (Appeal No.129 of 2019) rendered on 13.01.2022 to contend that since there is no inhibition in the PPAs against outsourcing of the activities relating to the operation & maintenance, the denial of relief on account of change in law events is unjust and unfair. The appellant also submits that the provision contained in Article 12.2.2 (under the head "for relief of change in law") allowsa decision to be rendered by the Central Commission upon it being approached by the aggrieved party for not only

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that "approval of change in law" but "for relief" to be provided in such respect. Reliance is placed onjudgments including Sovintorg (India) Ltd. Vs. State Bank of India, New Delhi (1999) 6 SCC 406 and Dushyant N. Dalal and Anr. Vs. SEBI (2017) 9 SCC 660.

5. In case of Coastal Gujarat Power Limited Vs. CERC & Others(supra) on the question of outsourcing of operating & maintenance activities, this tribunal had taken the following view:

> "67. Itisarguedthattheoperationandmaintenanceoftheplantisthe responsibility of the appellant and if the appellant seeks toemploy services of other agencies, the same cannot increase theliabilityoftheProcurers;thiswasacommercialdecisionandchoiceoftheappellant;andthatiftheappellanthadnotemployedservicesofoutsideagencies,therewouldhavebeennoimpactoftheallegedchangesoftaxrates.
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> 68. We find no substance in the above submissions. The workcontractors are engaged by the appellant within its discretion

andthereisnoinhibitioninPPAinsuchregard.Infact,itispointedoutby the appellant, and rightly so, that Article 7 of the Model PPAwhich was a part of the RFQ documents had envisaged that thegenerator (Seller) alone shall be liable to operate and maintain thepowerstationatitsowncostbut,inthefinalPPAthatwasexecutedbetwe en the parties, the clause to such effect was removed, thisclearly indicative of the common understanding of the parties thatthegenerator(CGPL)wouldnotbesolelyresponsibleforO&M,thedefinitionof'ProjectDocuments'readwith'O&Mcontracts'contemplatingthat athird-partyO&Mcontractormightbeappointedbyit(CGPL). ...

90. Therespondentsdefendtheimpugneddecisionarguingthatthe Commission has duly allowed the claim of change in law inrespect of the levy of Swatch Bharat Cess and Krishi Kalyan Cessinrespectofsuchservicesasarelinkedtothebusinessofgenerationa ndsaleofelectricity,suchreliefbeingnotadmissibleinrespectofother services since under Articles 13.1.1 and Article13.2(b) read with Clause 4.7 of the Guidelines any change in lawimpactisconfinedtochangeinrevenuesandcostsfromthebusinessofs ellingelectricitybytheSellertotheProcurers.Referenceismadetothejudg mentdated19.04.2017ofthistribunalin Appeal No. 161 of 2015 in

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SasanPower Limited v. CentralElectricity Regulatory Commission and Others. The respondentssubmitthattheremaybevariousactivitiescarriedoutbytheap pellantasacommercialdecisionbutwichareneithernecessarynor concerned with the business of selling electricity. It is arguedthat the appellant had failed to demonstrate as to how the otherservicesclaimedhaveanimpactonthecostoforrevenuefromthebusi nessofsellingelectricitybyittotheProcurers.Atthesametime,it is stated that the services claimed by CGPL, except in relation totransportation of goods (coal), are not related to the business ofselling electricity. The submission also is that there has to be somebenefittotheprocurersornecessityforsuchservices.Theresponden tsfurther averthattheoperationandmaintenanceofthe power plant is the responsibility of Appellant and the fact that theappellantchosetoemployservicesofotheragenciescannotincreaseth eliabilityofthe Procurers.

91. Itisnotdisputedthattheappellant(CGPL)isaprojectspecificSpecial Purpose Vehicle (SPV) set up solely for the purpose ofgenerating and supplying electricity exclusively to the Procurers inaccordancewiththePPA.Itengagesinnootherbusinessundertaking.All servicesavailedbyCGPLareundoubtedlyusedforitssoleobjectiveofgen eratingelectricityforsupplytotheProcurersunderthePPA.Theincreasedc osttowardsKrishiKalyanCessandSwachhBharatCessaffectsthecostoft hebusinessoftheappellant for generation and sale of electricity. The twenty servicesleft out by CERC also are connected to the commercial activities oftheappellantaddingtoitscostofproductionandsupply.Inthisview,there wasnojustificationfordisallowanceoftheclaimforadditionalfinancial burden on other

services covered under Swachh BharatCessandKrishiKalyanCesscontraryto Article 13ofthePPA.

92.We agree with the submission that CERC erred to introducean extraneous qualification or filter which is not borne out from thePPA.ThequalifyingfactorunderArticle13ofthePPAiswhetherornot a CIL event has an impact on the cost of, or revenue from, thebusinessofgenerationandsaleofelectricitybytheseller(CGPL). In this view, the test applied by CERC that taxable service shouldhave a "direct relation to the input cost of generation" is extraneousto the provisions of the PPA and must be rejected. It is trite thatexplicit terms of a contract (PPA) bind and it is not open for theadjudicating forums to substitute their own view on the presumedunderstandingofthecommercialtermsbytheparties[NabhaPowerLimitedv.PSPCL&Anr.(2018)11SCC508].OnceitisestablishedthatlevyofataxonservicesavailedbyCGPLhasanimpactonthecostoforrevenuefrombusinessofgenerationandsaleofelectricitywhetherdirectlyorindirectly-compensationmustfollow."

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6. Following the above, this tribunal with consent of the parties of that case had directed in the matter of Azure Power Eris Private Limited Vs. Bihar Electricity Regulatory Commission & Others(supra) similar remit for reconsideration by the State Commission.

7. After some hearing, it is fairly conceded by the learned Senior Counsel, Mr. M.G. Ramachandran on behalf of NVVN& SECI that the matter deserves to be remitted to the Central Commission for reconsideration of the issue of O&M expenses in light of rulings of this tribunal in Coastal Gujarat(supra) &Azure Power Eris Private Limited Vs. Bihar Electricity Regulatory Commission & Others (supra). Though the learned counsel for other respondents seem to have some reservations, we feel that it would be appropriate that the Commission is called upon to revisit the issue in light of the above mentioned rulings of this tribunal. We order accordingly.

8. Learned counsel for the respondents seek to contest the claim of the appellants on the subject of carrying cost. Learned counsel for the appellants submitted that since the issue of O&M expenses is being remitted, their right to challenge the view taken in the impugned order by the Central Commission vis-à-vis carrying cost may be reserved to be pursued and agitated after decision on O & M expenses issue has been

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rendered afresh by the Central Commission. We accept this request and grant liberty, as prayed.

9. For the forgoing reasons, and in these circumstances, we set aside the impugned orders to the extent thereby the Central Commission has denied the relief and impact of change in law on the O&M expenses and remit the same to the Central Commission for fresh consideration in light of the relevant law presently governing the subject. Needless to add, we expect the Central Commission to

hold the proceedings expeditiously in accordance with law and render fresh decision under this remit at an early date preferably within two months.We request the Commission accordingly.

10. The appeals are disposed of in above terms.

PRONOUNCED IN THE VIRTUAL COURT THROUGH VIDEO CONFERENCING ON THIS 03RD DAY OF FEBRUARY 2022.

(Sandesh Kumar Sharma)
Technical Member

(Justice R.K. Gauba)
Officiating Chairperson

pr/tp